

## CROATIA 2013

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### Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at [www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives).

Reference date for all information is **July 1<sup>st</sup> 2013**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

## **1. Overview of the tax-benefit system**

### **1.1. Average Worker wage (AW)**

The national currency is the Croatian kuna (HRK). In period January to December 2012 in Croatia average monthly gross earnings for activities B-N (by NACE Rev. 2) amounted to 7 544 kuna (annual value 90 523 kuna).

In period January to December 2012 in Croatia average monthly gross earnings amounted to 7 863 kuna (annual value 94 356 kuna).

## **2. Unemployment insurance**

Unemployment insurance is regulated, primarily, by the Act on Employment Mediation and Unemployment Rights (Official Gazette, Nos. 80/08, 94/09, 121/10, 25/12, 118/12 and 12/13 - consolidated text).

Unemployment cash benefit is granted to the unemployed person for a period that depends on the previous period of employment, namely:

- 90 days if the person has spent 9 months to 2 years at work,
- 120 days if the person has spent more than 2 years at work,
- 150 days if the person has spent more than 3 years at work,
- 180 days if the person has spent more than 4 years at work,
- 210 days if the person has spent more than 5 years at work,
- 240 days if the person has spent more than 6 years at work,
- 270 days if the person has spent more than 7 years at work,
- 300 days if the person has spent more than 8 years at work,
- 330 days if the person has spent more than 9 years at work,
- 360 days if the person has spent more than 10 years at work,
- 390 days if the person has spent more than 15 years at work,
- 420 days if the person has spent more than 20 years at work,
- 450 days if the person has spent more than 25 years at work.

Also, the duration of the unemployment benefit may be extended if:

- Unemployment person is registered with the Croatian Employment Service continuously for more than 12 months,
- Unemployed person has fully exercised the right to unemployment benefit.

The extension may last for:

- 30 days if the benefit was given for the period of 360-450 days,
- 60 days if the benefit was given for the period of 270-330 days,
- 90 days if the benefit was given for the period of 180-240 days,
- 120 days if the benefit was given for the period of 90-150 days.

An unemployed person who spent more than 32 years working and needs maximum of 5 years to fulfil the age limit for old-age pension shall be entitled to unemployment benefit until reemployment or until the occurrence of other circumstances which cause the termination of the right to this benefit.

### **2.1 Conditions for receipt**

Prerequisites for unemployed person to obtain unemployment benefit are as follows

- involuntary unemployment (i.e. through no fault of their own or against his/her own will),
- fulfillment of a minimum period of insurance,
- registration at the Croatian Employment Service
- application for benefit within 30 days of the termination of employment,
- capable of work,
- actively seeking employment.

Unemployed person has no right to unemployment benefit if his/her employment was terminated:

- because employment was terminated by that person, except in case of emergency termination of employment caused by the conduct of the employer,
- due to a written agreement on termination of employment,
- because the person did not meet expectations during probation work or has failed to meet during training or internship, or did not pass the exam within the prescribed deadline which is set by special provisions as a condition for continuance of employment,
- for breach of obligations deriving from employment relationship (dismissal caused by employee's misconduct), as well as for severe misconduct (extraordinary termination),
- due to pronounced prison sentence longer than 3 months.

Unemployed person loses the right to unemployed benefit if:

- person establishes working relations,
- the time period set for payment of unemployed benefit elapses,
- person is performing work without certificate, contract, or obligatory decision,
- person registers a company or other legal entity or acquires more than 25% of shares in a company or other legal entity,
- person becomes president or member of the board of director,
- person registers a craft, freelance, farming or forestry activity,
- person becomes insured as a farmer according to pension regulations,
- person becomes employed under special regulations,
- person fulfils the requirements for an old-age pension or acquires a family pension, disability pension due to general inability to work or a disability pension due to occupational disability for work in the amount higher than the amount of unemployment benefit,
- general inability to work has been established,
- person acquires a cash assistance under special regulations in an amount higher than the one determined for unemployment benefit,
- person start serving prison sentence which is longer than three months,
- person reaches 65 years of age,
- person refuses participation in education program or terminates it without a valid reason, or does not complete an education which was, after the assessment of psychophysical capabilities of person, organised and financed by the Croatian Employment Service, in order to increase its employability,
- person does not report to the Croatian Employment Service in two consecutive months, without providing an acceptable excuse,
- person does not meet conditions relating to active job search and availability for work,
- person unregisters itself from the records of Croatian Employment Service.

### *2.1.1 Employment conditions*

The right to unemployment benefit is acquired by unemployed person who at the time of termination of employment has at least 9 months of work in the last 24 months.

As the time spent at work is also considered a time of compulsory pension insurance acquired on the basis of employment in the Republic of Croatia as well as the time spent by a worker on sick leave or maternity, parental, adoptive or custodial leave after the termination of employment or service, if during this time worker received a salary compensation in accordance to health insurance regulations.

### 2.1.2 *Contribution conditions*

All workers are compulsory insured for the case of unemployment, in accordance to solidarity principle.

According to the Contributions Act (Official Gazette, Nos. 84/08, 152/08, 94/09, 18/11, 23/12, 144/12 and 148/13), employment contributions are paid for the following categories of persons:

- persons employed by the employer
  - payer of contributions is employer
- persons elected or appointed to representative or executive bodies
  - payer of contributions is representative or executive body of state or unit of regional or local self-government
- assigned employee
  - payer of contributions is employer or another person that pays salary to the insured person instead of employer
- caretaker of Croatian Homeland war veteran
  - payer of contribution is a ministry authorised for the rights of the Croatian Homeland war defenders
- parent-caretaker
  - payer of contribution is the ministry responsible for social welfare issues.

## 2.2 *Calculation of benefit amount*

The basis for determination of the unemployment benefit amount is the average salary, decreased by contributions for obligatory insurances, acquired in the three-month period preceding the termination of employment or service. Remuneration earned under special regulations do not form a part of the basis.

If the basis cannot be determined as described above, the basis for an unemployed person is determined in the amount of the minimum salary, decreased by contributions for obligatory insurances determined by special regulations, all depending on the percentage of time spent at work.

### 2.2.1 *Calculation of gross benefit*

The unemployment benefit for the first 90 days amounts to 70% of prescribed basis while for the remaining time it decreases to 35% of the basis.

Unemployed person who, while receiving unemployment benefit, acquired right for a disability pension due to occupational incapacity to work, as well as the person who was at that time acquired a compensation under special provisions in the amount below the amount of unemployment benefit, is entitled to the difference between disability pension/compensation and the unemployment benefit initially determined for him/her.

The maximum amount of unemployment benefit for the first 90 days cannot be higher than 70%, and for the remaining time cannot be higher than 35% of the average salary paid in the Croatian economy in the previous year, according to the latest officially published data. The average monthly salary paid in the Croatia Economy in 2012 was 5 478 kuna.

The minimum amount of the benefit cannot be lower than 50% of the minimum salary, decreased by contributions for obligatory insurances as determined by special regulations, except in the case where the amount of benefit is determined according to the percentage of time spent at work.

The amount of extended unemployed benefit (as already stated, the right to unemployment benefit may be extended if the unemployed person is registered within the Croatian Employment Service continuously for more than 12 months or has fully exercised the right to this benefit), has been set in the amount of 35% of basis, and cannot be higher than 35% of the average salary paid in the Croatian economy in the previous year.

#### *2.2.2 Income and earnings disregards for benefit recipients and those starting a new job*

### **2.3 Tax treatment of benefit and interaction with other benefits**

Unemployment benefits are not subject to personal income tax.

### **2.4 Benefit duration and waiting periods**

Unemployment cash benefit is granted to the unemployed person for a period that depends on the previous period of employment, namely:

- 90 days if the person has spent 9 months to 2 years at work,
- 120 days if the person has spent more than 2 years at work,
- 150 days if the person has spent more than 3 years at work,
- 180 days if the person has spent more than 4 years at work,
- 210 days if the person has spent more than 5 years at work,
- 240 days if the person has spent more than 6 years at work,
- 270 days if the person has spent more than 7 years at work,
- 300 days if the person has spent more than 8 years at work,
- 330 days if the person has spent more than 9 years at work,
- 360 days if the person has spent more than 10 years at work,
- 390 days if the person has spent more than 15 years at work,
- 420 days if the person has spent more than 20 years at work,
- 450 days if the person has spent more than 25 years at work.

The right to cash benefit can be re-applied in case of obtaining new insurance period of at least 9 months in last 24 months.

In case of repeated acquirement of the right to cash benefit, the insurance period taken into account for the previous cash benefit shall not be included in the insurance period for the acquisition and the calculation of the new cash benefit.

An unemployed person who, due to re-employment, lost the right to unemployment benefit before the expiry of the time for which it was granted, who again became unemployed by no fault of his/her own has a right to continued payment of benefit for the remaining part of the initially established duration, and in the initially established amount.

Exceptionally, in the case of a person who spent at work more than 32 years and lacking up to 5 years for the fulfilment of the age limit for old-age pension, and who is re-employed for more than three months, a also has right to continued payment of benefit for the remaining part of the initially established duration (namely, until another re-employment or until occurrence of other circumstances causing termination of the right to unemployment benefit), but a new basis can be applied to determine the amount of benefit, if this basis is more favourable for the beneficiary.

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## **2.5      *Treatment of particular groups***

### **2.5.1      *Young persons***

### **2.5.2      *Older workers***

An unemployed person who spent more than 32 years working and needs maximum of 5 years to fulfil the age limit for old-age pension shall be entitled to unemployment benefit until reemployment or until the occurrence of other circumstances which cause the termination of the right to this benefit.

### **2.5.3      *Others if applicable***

### **3. Unemployment assistance**

The right to the cash allowance (amounting up to the untaxed scholarship fee since 1 January 2009) is entitled to the unemployed person committed to the vocational training by the Croatian Employment Service. During the training, the payment of the unemployment benefit is cancelled, but is continued to be paid for the rest of the period it was allowed, providing that a person is registered with the Service within 30 days after the completion of the training. In 2011 this item amounted to 45.999.837 kuna.

In accordance with the National Plan for Stimulation of Employment, a new measure of professional development without conceiving employment has started to be implemented. This measure is indented for unemployed persons with below one year of pension time in his/her employment card. Namely, private and public entities, if they satisfy certain conditions, from 2011 can admit, thru job applications, above mentioned group of people, who can then work in those entities for a period of one year. They do not sign a working contract but a contract on professional development without conceiving employment (they have a mentor who is responsible for their professional development). During this one year person does not receive a salary, but a financial assistance (in the amount of about a half of a budgetary basis for that year). This assistance is paid by the Croatian Employment Service.

The unemployed person to whom the Croatian Employment Service is not capable to provide a job in the place of residence, and who, either on his/her own or by the mediation of the Service, finds a job in another place, is entitled to the cash lump-sum allowance. The conditions for the exercising of this right, along with the amount of the allowance are prescribed by the Ordinance on Cash Lump-Sum Allowance and Reimbursement of Travel and Resettlement Expenses. In 2011 this allowance has been paid in the amount of 75.600 kuna.

The unemployed person to whom the Croatian Employment Service is not capable to provide a job in the place of residence, and who, either on his/her own or by the mediation of the Service, finds a job in another place, is entitled to the reimbursement of travel and resettlement expenses for himself/herself, his/her spouse/partner and children, from the place of residence to the place of employment. Travel expenses are reimbursed in the amount of actual costs of travelling by train or bus, while the resettlement cost is reimbursed in the amount of 50% of costs for travelling by the cheapest transportation mean.

Unemployed person sent to education by the Croatian Employment Service has a right to reimbursement of: expenditures for transportation during the education, in the amount of real public transport expenditures; expenditures for prescribed safety clothes, footwear and other tools if the education is for occupations which are in shortage of working power, under special authorisations and licences; expenditures for nutrition outside place of residence or usual stay.

#### **3.1 Conditions for receipt**

##### *3.1.1 Employment conditions*

##### *3.1.2 Contribution conditions*

#### **3.2 Calculation of benefit amount**

##### *3.2.1 Calculation of gross benefit*

##### *3.2.1.1 Irregular additional payments*



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3.2.1.2      *Obligations of family members*

3.2.2          *Income and earnings disregards for benefit recipients and those starting a new job*

**3.3          *Tax treatment of benefit and interaction with other benefits***

**3.4          *Benefit duration and waiting periods***

**3.5          *Treatment of particular groups***

3.5.1          *Young persons*

3.5.2          *Older workers*

3.5.3          *Others if applicable*

#### **4. Social assistance**

Rights within the social welfare system are: support assistance, assistance for housing and heating costs, lump-sum benefit, benefits for educational needs, personal disability benefit, allowance for help and care, the status of the parent caregiver, up to employment benefit, inclusive addition and other social services.

Generally speaking, it can be said that the aforementioned rights can be granted to people who cannot provide maintenance by themselves through their work, rights arising from employment or insurance, property income, other fees or income under other regulations neither with the help of people who are required to support them, or otherwise.

##### **1. Benefits for school needs encompass:**

- support for accommodation in student homes
- support for transportation expenditures
- support for school books
- support for regular studying

##### **2. Assistance in settling of housing costs**

Housing costs encompass rent, utility costs, electricity, gas, heating, water supply, drainage and other housing costs, in accordance with special regulations. It can be granted to a single person or family.

Assistance in settling of housing costs may be granted to a single person or family, if their monthly income, in the last three months before the month in which the application was made, or prosecuted ex officio, does not exceed the amount of dependency allowance.

Individual or a family who use an apartment that is by its nature above characteristics required to meet the basic housing needs (apartment or house of 35 m<sup>2</sup> of floor space for one person, and for people with disability 20% higher (42 m<sup>2</sup>), plus 10 m<sup>2</sup> for each additional person, with possible deviation up to 10 m<sup>2</sup>), cannot acquire this right. The same situation applies if they own or co-own house or apartment that does not serve them to settle basic housing needs, office space or vacation house.

This right is financed and implemented by the local self-government unit, on monthly basis, up to half of the amount of prescribed maintenance needs. This right can be approved to full amount of the prescribed maintenance needs the social welfare centre assess that is the only way to avoid the separation of children from their parents.

Assistance in settling of housing costs can be granted in cash directly to the beneficiary or it can be provided in a manner that a competent authority wholly or partially pays the income directly to the authorized legal or natural person who provided the service.

##### **3. Assistance in settling of heating costs**

A single person or a family using wood for heating can be, once a year, provided by 3 m<sup>3</sup> of wood or may be granted an amount of money to cover that cost. This right is financed from the budgets of regional self-government units.

##### **4. Personal disability benefit**

Personal disability benefit is a financial support intended for persons with severe disability or other serious long-term changes in health condition, in order to meet their basic needs for inclusion in the daily life of the community. A user who is entitled to a personal disability benefit cannot simultaneously exercise the right to allowance for help and care.

Personal disability amounts to 250% of monthly basis used for determination of the amount needed for dependency allowance and other social welfare rights, for a person who does not have his/her own income or assets. If a person earns an income of any kind, personal disability benefit is calculated as the difference between the amount of personal disability benefit and the average income acquired in the three months prior to application.

Income does not include dependency allowance and assistance in settling of housing costs, pensions to the amount of the minimum pension earned for 40 years of pension insurance time, orthopaedic addition, funds for maintenance of a child and child allowance.

If parents of personal disability benefit recipient use: maternity or parental leave, half-time work, work half-time work for increased child care, leave or half-time work for increased care of a child with severe developmental difficulties or work standstill until third year of child's life by special regulations, if a child is 4 or more hours a day at preschool, school or medical institution, social welfare institution or with another provider of accommodation, a personal disability benefit is then provided in the amount of 125% of the basis.

#### 5. Allowance for help and care

Allowance for help and care is cash benefit intended for person who cannot meet basic needs by him/herself, and is therefore in high need of help and care of another person in organizing nutrition, food procurement, house cleaning, dressing, personal hygiene maintenance, and alike.

This right can be approved if, among other, the average monthly income of a single person does not exceed 250% of the basis, that is, if the average monthly income of family members does not exceed the amount of 200% of the basis, in three months before a month in which the application was submitted.

Allowance for help and care can be granted in full or reduced amount, depending on whether there is an urgent need of help and care in full or reduced volume.

The amount of allowance:

- in the full amount - 100% of prescribed basis,
- in the reduced amount - 70% of prescribed basis.

The allowance for help and care in full amount, regardless of conditions set, can be acquired by:

- person with severe disability,
- person with severe continuous changes in health condition,
- blind, deaf and deaf blind person who is unable to live and work independently.

The allowance for help and care in reduced amount, regardless of conditions set, can be acquired by:

- blind, deaf and deaf blind person who is capable of independent life and work and,
- person who is totally deprived of legal capacity.

This allowance cannot be acquired by a person who was granted personal disability benefit, or has been provided permanent or weekly accommodation in social welfare institution, in health or in another institution.

A child whose parent uses maternity or parental leave or employment standstill, does not have a right to allowance for help and care.

#### 6. Status of the caregiver parent

Status of parent caregiver is recognised by the welfare centre, to one of the parents of a child with developmental difficulties, or with disability, which is totally dependent on the help and care of another person (crucial for life support is to provide specific care by performing a medical-technical intervention, a child is completely motionless even with the help of orthopaedic devices, child with more types of severe impairments) for which, according to doctor's recommendation, parent is qualified.

Exceptionally, one of the family members may be granted this status, on his/her request. Except parent, this status can be recognized to marital or extramarital partner of a child's parent, who lives within a family union together with the child.

This right can be used even after a child's age of consent, as long as such need exists.

Caregiver parent is entitled to compensation in the amount of five bases, pension and health insurance rights as well as to unemployment rights, as an employed person under special regulations.

#### 7. Up to employment benefit

Up to employment benefit can be granted to a child with developmental difficulties, or to person with disability for whom physical, mental, intellectual or sensory impairment has been established, after the primary, secondary or higher education, and the earliest at 15 years of age. The amount of this benefit is set at 70% of basis.

This right can be re-acquired in case of termination of employment (regardless whether termination was voluntary or not) and the beneficiary in this case does not acquire unemployment benefit under other regulations. A beneficiary of this compensation cannot simultaneously be provided with allowance for help and care.

#### 8. Inclusive addition

Inclusive addition is the financial support for persons with disability, to provide conditions for the equalization of opportunities for their involvement in everyday life. The right to an inclusive addition has a person with established long-term physical, mental, intellectual or sensory impairments, which in interaction with various barriers may hinder its full and effective participation in society on an equal basis with others, due to which there is a need for a certain level of support in carrying out activities for inclusion in everyday life.

**Expenditures for material social welfare rights, during 2010-2012 <sup>1)</sup>****I PROVIDED BY THE STATE****-in kuna**

| <b>Type of benefit/assistance</b>                                                           | <b>2010</b>          | <b>2011</b>          | <b>2012</b>          |
|---------------------------------------------------------------------------------------------|----------------------|----------------------|----------------------|
| 1. Dependency allowance                                                                     | 516.989.953          | 545.763.693          | 584.695.120          |
| 2. Allowance for help and care                                                              | 447.469.422          | 449.156.681          | 430.969.139          |
| 3. Home help and care (3.1. to 3.2.)                                                        | 12.209.647           | 11.921.358           | 11.569.588           |
| 3.1. Home help and care                                                                     | 3.546.591            | 3.443.054            | 3.353.954            |
| 3.2. Help with nutrition                                                                    | 8.663.056            | 8.478.304            | 8.215.634            |
| 4. Personal disability benefit                                                              | 247.763.278          | 273.771.806          | 305.931.250          |
| 5. Help for maintenance of children                                                         | 28.570.006           | 29.409.757           | 29.900.676           |
| 6. Care outside own family                                                                  | 1.032.711.699        | 1.022.552.758        | 1.062.477.144        |
| 6.1. Accommodation of children and youth in foster families                                 | 52.086.110           | 52.707.165           | 53.796.381           |
| 6.2. Accommodation of adults and elderly persons in foster families                         | 87.905.098           | 90.456.358           | 93.852.914           |
| 6.3. Accommodation of children and youth in state social welfare home <sup>3)</sup>         | 470.958.627          | 469.218.859          | 463.657.375          |
| 6.4. Accommodation of adults and elderly persons in state social welfare home <sup>3)</sup> | 184.944.263          | 183.115.551          | 186.566.145          |
| 6.5. Benefits for the accommodation in non-state social welfare homes <sup>4)</sup>         | 226.869.747          | 216.426.575          | 253.532.962          |
| 6.6. Benefit for personal needs of continuous accommodation users (6.6.1. + 6.6.2.)         | 9.947.853            | 10.628.250           | 11.071.368           |
| 6.6.1. within social welfare home                                                           | 5.545.429            | 6.073.425            | 6.063.793            |
| 6.6.2. within foster family                                                                 | 4.402.424            | 4.554.825            | 5.007.575            |
| 7. Personal benefit to the foster parent                                                    | 25.103.861           | 25.571.213           | 22.869.979           |
| 8. Status of the caregiver parent                                                           | 88.183.068           | 100.286.549          | 111.989.891          |
| 9. Lump sum benefit                                                                         | 115.150.814          | 77.152.919           | 72.676.219           |
| 9.1. For school needs and obligatory school books                                           | 37.512.536           | 21.834.600           | 21.833.599           |
| 9.2. For provision of basic close and footwear                                              | 8.177.567            | 577.681              | 387.097              |
| 9.3. For settlement of funeral expenditures                                                 | 5.695.820            | 2.520.445            | 2.727.603            |
| 9.4. Lump-sum cash benefit                                                                  | 63.764.891           | 52.221.193           | 47.727.920           |
| <b>TOTAL (1 to 9)</b>                                                                       | <b>2.596.555.680</b> | <b>2.535.586.734</b> | <b>2.633.079.007</b> |

## **II ASSISTANCE ON THE LOCAL AND REGIONAL LEVEL**

|                                                                                                          |            |            |            |
|----------------------------------------------------------------------------------------------------------|------------|------------|------------|
| 1. Assistance in settling of housing costs (financed from the budgets of local self-government units)    | 60.945.571 | 97.949.942 | 71.757.896 |
| 2. Assistance in settling of heating costs (financed from the budgets of regional self-government units) | 36.439.053 | 53.186.495 | 39.579.062 |

**SOURCE:** Data from the Ministry of Social Policy and Youth, municipalities, City of Zagreb and social welfare centres

### **NOTES:**

<sup>1)</sup> Funds for presented social welfare rights (1 to 9 above) are secured within the state budget as well as from own revenues of the social welfare institutions.

Funds for settlement of housing costs are financed from the budgets of municipalities, cities and the City of Zagreb. Data are collected by social welfare centres.

<sup>3)</sup> These expenditures concern material and other expenditures, as well as gross salaries and other receipts of the employees of state social welfare homes.

<sup>4)</sup> These expenditures concern funds paid for settlement of service (accommodation) costs, for non-state homes.

### **4.1 Conditions for receipt**

The right to dependency allowance is not provided for a single person or family member who:

- can provide for themselves,
- does not want to seek support from the person who is obliged to dependency, on the basis of regulations on family relationships, unless the welfare centre finds that the person legally obliged to provide dependency is not able to provide support,
- does not want to acquire dependency aid on the basis of a concluded contract for life dependency, and did not initiate proceedings for breach of that contract,
- can acquire support on other grounds,
- owns a registered personal vehicle, unless the welfare centre determines that the vehicle is used for transportation of a family member - user of a right to allowance for help and care or right to personal disability benefit, as well for transportation of a large number of children, elderly people with moving difficulties or in order to meet some other basic needs,
- owns or co-owns an apartment, house or other object that does not serve him/her or a family member to meet their basic housing needs,
- has, within a period of one year, prior to submitting application, sold, donated or waived his/her right to inherit property and other assets, if by this he/she could have raised funds to meet their basic needs at the time of submission of the application for acquirement of this right.

It is considered that a person can provide for himself/herself if revenue can be acquired by selling, leasing or renting property that does not serve neither to him/her nor to the other family members in order to meet their basic needs. Residential properties, that meet the basic housing need, are considered to be a flat or a house of 35 m<sup>2</sup> floor space for one person, and for people with disabilities 20% higher (42 m<sup>2</sup>), plus 10 m<sup>2</sup> for each additional person, with a possible deviation of up to 10 m<sup>2</sup>.

It is considered that a person is able to provide for himself/herself if he/she is not properly registered within the relevant employment office, or if he/she in the period of six months prior to the initiation of proceedings refused an offer of employment, or if he/she has an opportunity, even temporary, seasonally, or with occasional jobs to raise funds in order to meet the basic needs, or else to achieve other income.

The conditions listed in the previous paragraph are not applicable to:

- A person missing 5 years of life before obtaining right on a old-age pension
- A child from the age of 15 years while attending the school regularly, or a younger adult until the end of the regular education, and no longer than the age of 26 years
- Pregnant woman after 12 weeks of pregnancy, a woman that gave birth until the six months after giving birth, a parent who raises the child until the age of 1, the twins up to three years, or three or more children under the age of 10 years
- A person totally incapable to work
- An unemployed member of family, with no income, who provides for a child, or an adult family member who is not capable to take care for himself/herself, if such this relaces institutional care.

The single person or family who have made funds from the sale of property or by donating their properties, are not entitled to dependency allowance for the period for which the amount of allowance corresponds upon the base rate for the real estate tax payment, except if their lives and health are endangered during that period of time, due to the inability of meeting their basic needs.

Income includes the entire financial and material resources which single person or a family member achieves on the basis of work, pension, property income or otherwise (for example, income from participating interests in the equity accounts, etc.)

Income doesn't include many receipts which make elements of the social protection system: assistance in settling of housing costs, financial compensation for physical disability, allowance for help and care, orthopaedic addition, personal disability benefits, child allowance, and alike.

Likewise, assistances and fees provided by local and regional self-government units are not included in the income, up to the amount of the basis. The same situation refers to amounts that are paid by a family member for support of a person who is not a family member, based on the regulation of family relations.

## **4.2 Calculation of benefit amount**

### **4.2.1 Calculation of gross benefit**

The amount of dependency allowance is based on the means test and it is determined as a difference between the amount of resources identified as needed for the dependency, and the amount of the average monthly income achieved by single person or family in a period of 3 months, preceding the month in which the application process was initiated in order to achieve the allowance. Thus, monthly amount of pomoći za uzdržavanje is defined as the difference between corresponding thresholds and total income of individual or family.

The dependency allowance is not subject to the taxation.

The Croatian government determines the basis upon which the amount of dependency allowance is determined, in an amount which cannot be less than 22.5% of the monthly amount of relative poverty line for a single household. According to decisions of the Government, since 2008, the basis was established in the amount of 500 Croatian kuna.

The amount of dependency allowance is calculated as the percentage of the basis:

- For a single person - 120% of the contribution base,
- Family, for:
  - Adult - 80% of basis,
  - A child up to 7 years - 80% of basis,
  - A child from 7-15 years - 90% of basis,
  - A child from 15-18 years, or until the end of regular education, and no longer than the age of 26 - 100% of basis.

The amounts above are increased if the beneficiary is:

- Adult completely incapable to work and living alone, for 50% of basis,
- Adult completely incapable to work and living within family, for 30% of basis,
- Pregnant woman after 12 weeks of pregnancy and a woman who gave birth upon the 2 months after giving birth, for 50% of basis,
- A child of a single parent for 25% of basis.

The right to dependency allowance ceases if an individual or a family member is a part of a military service, hospitalized, in custody or in investigation prison, serves a prison sentence, or temporary accommodated in a social welfare institution or foster family, or staying abroad, for a continuous period of more than 2 months. Also, the right to dependency allowance ceases for the individual or a family member each month in which they stay more than 15 days abroad, as well as to the beneficiary who is on permanent or weekly accommodation in a foster family or in a social welfare institution, or he/she is entirely provided with free housing and food, due to the education.

#### *4.2.1.1 Irregular additional payments*

Lump-sum benefit is a right to assistance in cash or kind which the centre for social welfare recognizes to a single person or family who are not able to meet some basic needs, due to the current material difficulties, which are caused by the birth or education of a child, illness or death of a family member, natural disasters, etc.

Lump-sum benefit can be exceptionally recognized for the procurement of basic household items or purchase of necessary clothing and footwear if there is no option of ensuring these necessities in cooperation with humanitarian organizations. The total yearly amount of all recognized lump-sum benefits cannot reach more than the value of five basis.

#### *4.2.1.2 Obligations of family members*

#### *4.2.2 Income and earnings disregards for benefit recipients and those starting a new job*

Income includes the entire financial and material resources which single person or a family member achieves on the basis of work, pension, property income or otherwise (for example, income from participating interests in the equity accounts, etc.)

Income doesn't include many receipts which make elements of the social protection system: assistance in settling of housing costs, financial compensation for physical disability, allowance for help and care, orthopaedic addition, personal disability benefits, child allowance, and alike. Likewise, assistances and fees provided by local and regional self-government units are not included in the income, up to the amount of the basis.



#### **4.3      *Tax treatment of benefit and interaction with other benefits***

Dependency allowance is not taxed.

#### **4.4      *Benefit duration and waiting periods***

Dependency allowance may be renewed if the circumstances serving as the basis for granting and determining the level of dependency allowance remain unchanged.

#### **4.5      *Treatment of particular group***

Social assistance rights can be provided to single persons or to a family as a whole.

4.5.1      *Young persons*

4.5.2      *Older workers*

4.5.3      *Others if applicable*

## **5. Housing benefits for rented accommodation**

1. Assistance in settling of housing costs is partly described in part 4 of this Questionnaire.

Housing costs are related to rent, utility charges, electricity, gas, heating, water, drainage and other housing costs in accordance with special regulations.

Assistance in settling of housing costs may be granted to a single person or family if monthly income of a single person or family in the three months before the month in which the application for this right was made did not exceed the amount of dependency allowance.

Individual or family, who use the apartment that has all the necessary characteristics required to meet the basic housing needs (apartment or house of 35 m<sup>2</sup> floor space for one person, and for people with disabilities 20% higher (42 m<sup>2</sup>), plus 10 m<sup>2</sup> for each additional person, with a possible deviation of up to 10 m<sup>2</sup>), are not entitled to this right. The same situation is in case a person owns or co-owns a house or apartment that he/she does not use for the basic housing needs, or has a business premises or vacation house.

Assistance in settling of housing costs is approved monthly by the local government units, up to half of the funds which are needed for maintenance. This right may be granted up to the full amount of funds needed for maintenance, only if by the assessment of the social welfare centre, it is the only way to prevent separation of children from their parents.

This right may be granted directly to the beneficiary in cash, or in a manner that relevant legal authority wholly or partially pays the invoice directly to the authorized legal or a physical person who provided the service.

2. Also, the Croatian Real Estate Agency and the Ministry of Construction and Physical Planning began with a program of leasing apartments, which are built within the program of stimulated housing construction, under favorable conditions.

The conditions are following:

- Croatian citizens who, as well as their household members, do not own the right property for living in the area where the property intended for rent is located,
  - Suitable property implies ownership of housing (apartment or house) which is equipped with adequate infrastructure (water, sewage, electricity, etc) and complies with the sanitary conditions for healthy housing, size about 35 m<sup>2</sup> of usable floor space for one person, and for any further person about 10 m<sup>2</sup> more,
- People whose income per family member is at least 30% of the average salary in the Republic of Croatia, according to the latest published data about the average net salary.

The amount of monthly rent is determined by the Croatian Real Estate Agency, and it depends on the location of the property, apartment's furniture, apartment's usability, the cost of property's maintenance, as well as maintenance of common parts and the building's facilities, and other specifics.

The lease contract is concluded for a period of 60 months, with the possibility that the duration of the lease is extended for the following period of 36 months.

The purchase price of the property is determined by the lease agreement and may be reduced by the amount of rent paid, in a following manner:

- If a period of up to 36 months passes from the time of signing the rent contract until the time of signing the purchasing contract, than the purchase price will be reduced by the full amount of rent paid (100%);
- If a period of more than 36 months, but no longer than 60 months passes from the time of signing the rent contract until the time of signing the purchasing contract, the purchase price will be reduced up to the 85% of the amount paid for rent;
- If a period of more than 60 months passes from the time of signing the rent contract until the time of signing the purchasing contract, the purchase price will not be reduced.

### **5.1      *Conditions for receipt***

1. Assistance in settling of housing costs may be granted to a single person or family if monthly income of a single person or family in the three months before the month in which the application for this right was made did not exceed the amount of dependency allowance.

2. In order to rent apartments, built under the program of stimulated housing construction, applicants must meet the following conditions:

- Croatian citizens who, as well as their household members, do not own the right property for living in the area where the property intended for rent is located,
- People whose income per family member is at least 30% of the average salary in the Republic of Croatia, according to the latest published data about the average net salary.

### **5.2      *Calculation of benefit amount***

1. Assistance in settling of housing costs is approved monthly by the local government units, up to half of the funds which are needed for maintenance. This right may be granted up to the full amount of funds needed for maintenance, only if by the assessment of the social welfare centre, it is the only way to prevent separation of children from their parents.

2. The price of rented apartments built under the program of stimulated housing construction is determined on the basis of several elements (location of the property, apartment's furniture, apartment's usability, the cost of property's maintenance, as well as maintenance of common parts and the building's facilities, and other specifics), but generally, the price of real estate per square meter is much more favorable than the similar quality estate, located at the same or nearby location (at the moment, the favorable price is between 20-35 kuna per square meter).

#### **5.2.1      *Calculation of gross benefit***

#### **5.2.2      *Income and earnings disregards***

#### **5.2.3      *Costs eligible for housing benefits***

### **5.3      *Tax treatment of benefit and interaction with other benefits***

1. Housing benefits are not taxed.

2. Rental of the apartments, built under the program of stimulated housing construction, is a subject to all legal and tax rules which regulates each rental of the apartment, with an advantage of this lease that is generally financially more suitable.

**5.4      *Treatment of particular groups***

5.4.1      *Young persons*

5.4.2      *Older workers*

5.4.3      *Others if applicable*

## **6. Family benefits**

### **6.1 Conditions for receipt**

Child allowance is a cash benefit used by the parent or other person designated in the Act on child allowance, in order to provide support in the maintenance and upbringing of the child. It can be acquired by the parent, adoptive parent, foster, step father, stepmother, grandmother, grandfather, as well as the person to whom child has been entrusted on care and upbringing by decision of the authorised social care body. Child allowance can be provided also for the child who is an adult, but lost both parents, if he/she is attending regular education.

The right to child allowance is acquired in accordance to the number of children, the amount of the total income of all beneficiary household members, as well as other conditions foreseen by the Act on child allowance. It can be given for the children born in marriage, outside marriage, for adopted children.

Child allowance is given until child reaches 15th year of age, or until the end of the school year in which child turned 15. This benefit can be provided after mentioned period if the reason a child is attending elementary school after he/she turned 15 is later school enrolment in the first grade or failure to finish a class due to health reasons or longer illness.

Child allowance is given for the child in secondary school until the end of such schooling, but no longer than the end of the calendar year in which child turns 19 years of age. If the child has health impairments, he/she is entitled to child allowance even after turning 19 years of age, until the end of regular education in secondary school, but no longer than when reaching 21 years of age.

For a child with a difficult health impairment, which is determined in accordance with specific provisions, child allowance is provided until the end of the calendar year in which child turns 27 years of age.

### **6.2 Calculation of benefit amount**

In accordance with the Child Allowance Act, the total household income is the sum of taxable incomes which fall under the regulations on income tax and other receipts which are defined under this Act and achieved by the beneficiary and members of his household. The scope of the definition of income for purpose of determining eligibility for child allowances includes pensions achieved at home and abroad, salaries granted by employer for work abroad, the fees generated due to the child care, compensation for temporary incapacity for work, unemployment compensation, compensation for professional rehabilitation.

#### **6.2.1 Calculation of gross benefit**

The amount of child allowance is determined and depends on the monthly amount of total income achieved per household member.

The beneficiary acquires the right to the child allowance under the following conditions: that his/her total income per household member generated in the previous year does not exceed 50% of the budget basis per month and that he/she lives with the child in the same household. In case that the total income per beneficiary's household member does not exceed 16.33% of the budget basis per month, the beneficiary is granted the child allowance in the amount of 9% of the budget basis per child. In case that the total income per beneficiary's household member ranges between 16.34% and 33.66% of the budget basis per month, the beneficiary is granted the child allowance in the amount of 7.5% of the budget basis per child. In case that the total income per beneficiary's household member ranges between 33.67% and 50% of the budget

basis per month, the beneficiary is granted the child allowance in the amount of 6% of the budget basis per child.

The amount of the child allowance increases by 25% for the child without both parents, or if both parents are unknown or of unknown residence, or if they are completely and permanently incapable to live and work independently, or if they are deprived of working capability. The amount of the allowance increases by 15% for the child without one parent, whose one parent is unknown or of unknown residence, or completely and permanently incapable to live and work independently, or deprived of working capability. .

For child with health impairments, beneficiary is entitled to child allowance up to 25% higher amount.

For the child with grave health impairments, the child allowance is determined in the amount of 25% of the budget basis, independent of the total monthly income per household member.

Budget basis for year 2013 has been set at 3.326 kuna.

Alongside determined amount of child allowances, beneficiary is provided with a supplement in the amount of 500 kuna for the third and fourth child. This means that, besides the amount of the child allowances defined by the legal decision, the user is given 500 kuna if he/she uses the supplement for three children, or 1 000 kuna per month if he/she uses the supplement for four or more children.

In addition to the child allowance, there are following supplementary benefits available:

#### *1 Maternity and parental leave*

Employed or self-employed pregnant women or employed or self-employed mother during pregnancy, childbirth and care of a newborn child is entitled to maternity leave for a period of 28 days before the expected birth up to the child's 6 months of age, which consists of compulsory and optional maternity leave. Employed or self-employed pregnant women or employed or self-employed mother uses the right to compulsory maternity leave for a continuous period of 98 days, of which 28 days before the expected birth and 70 days after childbirth.

After the maternity leave, given for the first 6 months of child's life, has expired, employed or self-employed parent has a right to parental leave, duration being between 8 and 30 months (it depends on the number of children and the manner of usage of the right: 8 months for first and second child, and 30 months for birth of twins, third and every child that follows). Parental leave is, as a rule, used by both parents (each one for the period of 4 or 15 months). If parental leave is used by only one parent, it is used in the duration of 6 months for first and second child, and 30 months for birth of twins, third and every child that follows. During first 6 months of parental leave (if only one parent is using this right) or 8 months (it this leave is used by both parents), employed or self-employed parent has a right to monthly salary compensation which amounts to 100% of the basis determined under obligatory health insurance provisions, but which cannot be higher than 80% of the budgetary basis. If a parental leave is used as a half time working arrangement, than the employed or self-employed parent has a right to salary compensation in the monthly amount of 50% of the budgetary basis.

Unemployed parent, who fulfils other conditions prescribed by law, has a right to maternity and parental exclusion from work. Parent can use maternity exclusion from work until child fulfils 6 months of life. After the expiration of this right, unemployed parent can use parental exclusion from work in the duration between 6 months (for first and second child) and 30 months (for birth of twins, third and every child that follows). The user has a right to a cash benefit in the monthly amount of 50% of the budgetary basis.

Parent outside working system, who fulfils other conditions prescribed by law, has a right to cash assistance during maternity and parental care for the new born child. Under maternity care it is understood a period of time from the child birth until 6 months of child's life. Parental care encompasses time period from 6 months of life until child's 1 year of age (for first and second child) or 3 years of age (for twins, third and every child that follows). The user has a right to a cash benefit in the monthly amount of 50% of the budgetary basis.

Adoptive parent, if health insured under obligatory health insurance provisions, has a right on related temporal leaves or exclusions from work, as well as salary compensations or other forms of cash benefits. The scope of mentioned rights depends on the working status of the adoptive parent, as well as of the age of the adoptive child.

In this case the financial base is the average salary, paid to the beneficiary for the six months prior to the month in which the case occurred, on the basis of which the right is acquired.

Budget basis for year 2013 has been set at 3.326 kuna.

## *2 Cash lump sum assistance for a new born child*

Users of maternal and parental benefits can also be entitled to cash lump sum assistance for a new born child. This financial assistance is provided in the amount of 70% of the budgetary basis. This benefit is not means-tested.

### *6.2.1.1 Irregular additional payments*

### *6.2.2 Income and earnings disregards*

In accordance with the Child Allowance Act, the total household income is the sum of taxable incomes which fall under the regulations on income tax and other receipts which are defined under this Act and achieved by the beneficiary and members of his household. The scope of the definition of income for purpose of determining eligibility for child allowances includes pensions achieved at home and abroad, salaries granted by employer for work abroad, the fees generated due to the child care, compensation for temporary incapacity for work, unemployment compensation, compensation for professional rehabilitation.

## **6.3 Tax treatment of benefit and interaction with other benefits**

Child allowance is not taxed.

Maternity and parental leaves benefits are not taxed.

Cash lump sum assistance for a new born child is not taxed

Reference date for all information is **July 1<sup>st</sup> 2013**

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#### **6.4      *Treatment of particular groups***

6.4.1      *Young persons*

6.4.2      *Older workers*

6.4.3      *Others if applicable*



## **7. Childcare for pre-school children**

According to the Preschool Education Act, preschool education includes programs of education, health care, nutrition and social welfare that are provided in kindergartens. Kindergartens are public institutions where the pre-school education is held as a public service.

Kindergartens may be established by: Republic of Croatia, local and regional self-government units, religious organizations, other legal and natural persons.

Pre-school education is organized and conducted for children from the age of six months up to school age.

Kindergartens achieve:

- Regular programs of care, upbringing, education, health care, nutrition and social welfare of children and early and preschool age, which are adapted to the developmental needs of children and their abilities and skills,
- Programs for children with disabilities of early and preschool age,
- Programs for gifted children of early and preschool age,
- Programs in the language and alphabet of national minorities,
- Pre-school programs,
- Programs of early foreign language learning and other programs of artistic, cultural, religious and sport contents.

In 2009/10 educational year the total coverage of pre-school children in regular programs (five-hour and ten-hour programs) amounted up to 58% of the pre-school children. Coverage of shorter programs ranged up to 28%.

In a year before enrolling school, around 99.6% of the children were involved with pre-school programs, in regular kindergarten programs as well as in pre-school programs.

In total, 673 kindergartens are operating in the Republic of Croatia (the total number of objects is 1 598). There are 238 private kindergartens or 35.4%. There are 435 city / municipal / county kindergartens (64.6%).

The total number of children in all kindergartens amounted to 151 514. In private kindergartens there are up to 29 320 children (19.4%), while in the city / municipal / county ones up to 122 194 children (80.6%).

Children involvement according to the programs:

- In regular daily programs there are 112 346 children included (74.1%).
- In pre-school programs there are 15 668 children (10.4%).
- In the shorter programs there are 23 500 children included (15.5%).

The programs of pre-school education includes around 5 985 (5.3%) children with disabilities, 1 678 (1.5%) gifted children and 2 348 (2.1%) children belonging to national minorities.

More than 69% of children between the age of 4 and 6 are learning a foreign language within the regular kindergarten program or as a shorter program outside the regular program.

According to the Act on Education in Primary and Secondary School, a primary school lasts eight years. Primary education begins by enrolling into the first grade of primary school and it is compulsory for all children, generally from six to fifteen years of age, and for students with multiple disabilities no longer

than 21 years. Children are considered to be enrolled in the first grade of compulsory primary education if by the April 1th of the current year they have reached the age of six years of life.

### **7.1 Out-of-pocket childcare fees paid by parents**

In accordance with the Article 48 of the Preschool Education Act, the founder of the kindergarten is obliged to provide funds for the establishment and operation of the kindergarten. These funds the founder provides by selling services on the market, or from other regulated sources.

Kindergartens founded by the units of local and regional self-government, are charging their services from the parents-customers, in accordance with the standards established by the representative body of that unit, except for the pre-school program that is free of charge for parents.

Therefore, most kindergartens depend on the units of local or regional self-government, whether, and to what extent, it will co-finance the kindergarten costs, and thereby reduce the cost to parents. Likewise, it depends on units of local or regional self-government whether the co-financing (and its amount) will be based on the previous means test, as well as whether there will be a category of users who are excluded from paying.

Article 50 of the Preschool Education Act stipulates that a part of funds needed for the execution of public needs in the field of preschool education is secured in the state budget.

Above paragraph refer to the following programs:

- For children with development difficulties and gifted children,
- For early and pre-school age children of Croatian citizens abroad,
- For children of early and pre-school age belonging to national minorities,
- Pre-school program (as it is mandatory, it is state funded).

### **7.2 Child-care benefits**

#### **7.2.1 Conditions for receipt**

*Conditions for receipt*

#### **7.2.2 Calculation of benefit amount**

##### **7.2.2.2 Income and earnings disregards**

#### **7.2.3 Tax treatment of benefit and interaction with other benefits**

Financing of kindergartens from state and other entities is provided in the form of services (the user does not get the money but the part of a service the user does not have to settle). Also, it is provided on the local level. This benefit in kind is therefore, as a rule, not related to other social security benefits.

#### **7.2.4 Treatment of particular groups**

## **8. Employment-conditional benefits**

There are no benefits which are paid to the employed persons, on the sole basis of their employment.

Active employment policy measures are, as a rule, subsidizing employer's cost he/she has under the employment and labor regulations, and they do not directly affect the financial condition of an employed person (he/she receives a salary).

Also, the institute of minimum salary was introduced to protect a minimum level of employees' income. However, it is a pre-agreed employer's financial obligation, and not of the government, public authority or social security fund.

### **1. Maternity leave (already designated in part 6 of this Questionnaire)**

Employed or self-employed pregnant women or employed or self-employed mother during pregnancy, childbirth and care of a newborn child is entitled to maternity leave for a period of 28 days before the expected birth up to the child's 6 months of age (or first 8 months, if this right was partly used by other parent). During these first 6 months, employed or self-employed person is entitled to compensation in the amount of 100% of a base for salary compensation, determined in accordance with the regulations on the obligatory health insurance.

In this case, therefore, the financial base consists of the average amount of gross salary paid to a person in the last six months, prior to the month in which the event occurred. Monthly gross salary per person employed in legal entities in Croatia, for the period from January to December of 2013, amounted to 7 939 kuna.

Unemployed parent can use maternity exclusion from work until child fulfils 6 months of life. The user has a right to a cash benefit in the monthly amount of 50% of the budgetary basis. Budget basis for year 2013 has been set at 3.326 kuna (50% of budgetary basis amounts to 1.663 kuna).

Parent outside working system has a right to cash assistance during maternity and parental care for the new born child. The user has a right to a cash benefit in the monthly amount of 50% of the budgetary basis. Budget basis for year 2013 has been set at 3.326 kuna (50% of budgetary basis amounts to 1.663 kuna).

### **8.1 Conditions for receipt**

### **8.2 Calculation of benefit amount**

#### **8.2.1 Calculation of gross benefit**

### **8.3 Tax treatment of benefit and interaction with other benefits**

### **8.4 Benefit duration**

### **8.5 Treatment of particular group**

Maternal benefit is not taxed.

Reference date for all information is **July 1<sup>st</sup> 2013**

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- 8.5.1 *Young persons*
- 8.5.2 *Older workers*
- 8.5.3 *Others if applicable*

## **9. Lone-parent benefits**

### **9.1 Conditions for receipt**

### **9.2 Calculation of benefit amount**

- 9.2.1 *Calculation of gross benefit*
  - 9.2.1.1 *Irregular additional payments*
- 9.2.2 *Income and earnings disregards*

### **9.3 Tax treatment of benefit and interaction with other benefits**

### **9.4 Benefit duration**

### **9.5 Treatment of particular group**

- 9.5.1 *Young persons*
- 9.5.2 *Older workers*
- 9.5.3 *Others if applicable*

## **10. Tax system**

### **10.1 Income tax**

Majority of social security benefits in Croatia are not taxed (either being left outside the definition of income, or falling into this definition, but treated as non-taxable). Exemptions are paid sick leave benefit paid by the employer and pensions higher than 3 200 kuna. They are treated as a financial receipt from non-autonomous work and form a part of income tax base.

#### *10.1.1 Tax allowances and credits*

##### *10.1.1.1 Standard allowances*

Allowances that reduce the aggregated taxable base for a resident taxpayer on an annual level include:

1. General allowance: 26 400 kuna in 2013 for all resident taxpayers.

- additional general allowance:
  - pension beneficiaries for: between 26 400 kuna and 40 800 kuna

2. Family allowances are granted to residents who support their family members:

- If a taxpayer has a dependent member of an immediate family, or former spouse for which alimony is paid, than allowance is given in the annual amount of 13 200 kuna
- An allowance of 13 200 kuna is given for the first dependent child. For each subsequent child this amount is raised (by 18 480 kuna for the second child; by 26 400 kuna for the third child; by 36 960 for the fourth child; by 50 160 for the fifth child). For 6<sup>th</sup> and each subsequent dependent child factor of basic personal allowance is increased progressively by 0.6 (66 000 kuna), 0.7 (84 480 kuna), 0.8 (105 600 kuna), 0.9 (129 360 kuna), 1.0 (155 760 kuna), etc, compared the factor of the basic personal allowance for the previous child (factor 1.9 for the 5<sup>th</sup> child).
- If a taxpayer or any dependent immediate family member or dependent child is disabled, additional allowance is given in the amount of 7 920 kuna
- In case for a taxpayer or any dependent immediate family member or dependent child a disability of 100% has been determined and/or has a right, due to determined disability, to help and care of another person, the amount of allowance is raised by 26 400 kuna

Dependent immediate family members (taxpayer's spouse, taxpayer's parent and the parents of his spouse, ancestors and descendants in the direct line, stepmothers and stepfathers to whom stepchild provides maintenance, former spouses for whom taxpayer pays alimony and adult persons to whom a taxpayer has been appointed as guardian) and dependent children are natural persons whose taxable receipts, receipts which are not subject to taxation and other receipts that are not considered as income, do not exceed 11 000 kuna on an annual basis. Exceptionally, when determining the right to personal tax deduction for dependent immediate family members and dependent children, following receipts under special regulations are not taken into consideration: social assistance benefits, child allowance, receipts for a new-born child and survivors pension due to death of a parent.

Other tax reliefs applicable to income from employment:

- compensation for the difference in salary during military service in the armed forces,

- salary compensation to members of the Civil Protection as well as to other persons for activities conducted within civil protection and protection from natural disasters,
- financial compensation for the period of temporary unemployment and financial aid provided to persons engaged in vocational training for work without employment paid by Croatian Employment Service, salary compensation for temporary inability to work which is paid by Croatian Institute for Health Insurance, State budget or social welfare centers as well as the lump-sum supplement for dismissal due to business or personal reasons that is paid by Croatian Employment Service,
- awards to students during practical work and apprenticeship up to 1 600 kuna per month,
- awards to pupils and students which are received in the competitions within the education system as well as on organized school and university competitions,
- financial receipts of pupils and students in regular schooling for work carried out through pupil and student associations, under special regulations, up to 50 000 kuna,
- compensation of damage caused by injury at work, if it is determined as a lump sum,
- benefits and rewards received by imprisoned persons for work done in correctional institutions and rehabilitation homes,
- receipts of workers and other individuals from fees, grants and awards received from their employer or other payer, up to prescribed amount,
- receipts from fees, grants and awards of free lancers as well as people performing other activities taxable as free-lance, up to prescribed amount,
- receipts for official travels of natural persons who are not receiving receipts from employment nor receipts which are included into other income, in the non-profit organizations, up to prescribed amount,
- scholarships to pupils and students in regular education at the secondary schools, higher education schools and colleges, up to 1 600 kuna per month (exceptionally up to 4 000 kuna per month, for awards acquired by for college students for high scientific achievements and grades, elected on public competitions)
- scholarships for regular education of students in schools of higher education and colleges as well as postgraduates for which funds were planned in state budget, and scholarships that are paid or allocated from the EU budget to students on regular education on schools of high education,
- sport scholarships that are paid to athletes for their sports training, up to 1 600 kuna per month,
- social assistance benefits paid by union from funds collected by its members,
- awards for sporting achievement up to 20 000 kuna a year and financial compensations made to amateur athletes up to 1 600 per month,
- voluntary pension insurance premiums paid by employer into resident voluntary pension fund, in favor of employee and with his/her consent, or paid by person obliged to pay income tax from free-lance on his/her behalf, up to 500 kuna per month, or up to 6 000 kuna a year,
- scholarships provided to students elected through a public tender accessible by all students under same conditions, for regular education at schools of high education provided by foundations, establishments or other institutions registered in the Republic of Croatia for educational or scientific research purposes, established to provide scholarships,
- receipts from dividends and profit from equity shares up to 12 000 per year,
- receipts from grants paid to individuals by EU funds and programs, thru a body accredited in accordance with the rules of European Commission in the Republic of Croatia for the implementation of the mobility activities within framework of EU programs and funds, and for the purpose of education and training, for settling of expenses of transport, nutrition and accommodation, as well as for the realization of project activities of natural persons (expenditures for rental space, insurance, equipment and materials, etc.),

Reference date for all information is **July 1<sup>st</sup> 2013**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

10.1.1.2 Standard tax credits

10.1.2 *Income tax schedule (central government income tax)*

Tax schedule for 2013 is:

| <b>Taxable base</b>      | <b>Rate</b>                                          |
|--------------------------|------------------------------------------------------|
| up to 26 400 kuna a year | 12%                                                  |
| 26 400 to 105 600 kuna   | (3 168 kuna) + 25% over 26 400 kuna                  |
| above 105 600 kuna       | (3 168 kuna) + (19 800 kuna) + 40% over 105 600 kuna |

10.1.3 *State and local income taxes*

**10.2 *Treatment of family income***

**10.3 *Social security contributions and payroll taxes***

10.3.1 *Contributions payable by employees and benefit recipients*

Pension insurance – 20.0%

10.3.2 *Contributions payable by employers*

Health insurance – 13.0%

Injuries at work and professional diseases – 0.5%

Employment -1.7%

10.3.3 *Payroll taxes*

**10.4 *Treatment of particular group***

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

## ANNEX

### DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

#### **Social security contributions to general government**

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

#### **Social security contributions paid to institutions outside general government**

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

#### **Payroll taxes**

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.